following measures to put privatization of PSBs on a clear and unambiguous path:

First, scrap the ‘strategic sector’ element from the public-sector enterprises policy announced in Budget 2021–22. PSBs have no ‘strategic’ value and should not be held back from privatization on this flimsy ground.

Second, consolidation of banks serves no purpose. Therefore, stop the exercise of further consolidating PSBs. Likewise, there is no need to close down any of the PSBs.

Third, put all the ten PSBs (SBI excluded) on the block for privatization. Have a three-year programme to complete this privatization before December 2023, well before the next general elections in 2024.

Open Up Banking to Financial-sector ‘Corporate Houses’

A technical group set up by RBI recently recommended banking licences to be given to private-sector industrial houses. This created a lot of flutter as it amounted to a total reversal of government and RBI policy thus far. In fact, the policy has been to cap the voting rights of any person in banks to a maximum of 10 per cent, thereby ensuring that no person—individual or corporate—has a controlling voice in any of the scheduled banks in India.

India’s banks were owned and managed by industrial houses before nationalization. However, since then, no banks have been controlled by industrial houses. The development of private-sector banking in the country suggests that the absence of ownership by industrial houses has not hindered the development of banks. Ironically, PSBs have ended up giving much larger credit to industrial houses than PVBs. In reality, quite a few major PVBs are controlled by corporate groups. HDFC Bank, the largest PVB in India, is effectively controlled by HDFC Group. Kotak Mahindra Bank is effectively controlled by the Uday Kotak Group. Several small finance banks are owned and controlled by individuals.